IREN - IREN Limited

Full investment research | Model assumptions and source evidence

Framework 8.0 input update · Research cutoff: 8 October 2026

Status: Integrated original research and approved earnings model; evidence qualifications remain active.

Classification: TEMPORAL CAPACITY ENABLER - energized power and contracted AI cloud deployment

Portfolio Base: 67/100. Analytical Base: 67/100 (40/60). The earlier user override was removed on October 7; this review changes neither score.

Q4 2027 operating ceiling: USD 85.48 per share (previously USD 86.03; -0.64%). Financial amounts: USD millions; margins derived where applicable. Ceilings: USD per share.

The retained operating reference case now includes the explicit probability-weighted service-risk branch below. Do not apply its probability again to the entire business or ceiling. Portfolio Base and the analytical category score are distinct; the latter does not overwrite the former.

1. Thesis, products and competitive position

Contracted compute and mining are separate businesses

IREN combines power/site infrastructure with GPU-cloud deployment and Bitcoin mining. The original contract-level decomposition remains useful because customer terms, equipment configuration, acceptance dates and funding differ across AI programs. The four vectors distinguish Microsoft, other contracted AI cloud, expansion capacity and mining.

Power access is necessary but not sufficient. Substations, cooling, networking, delivered GPUs, commissioning and customer acceptance must align before contracted capacity generates service revenue. Exit ARR describes a run rate rather than recognized full-year sales. A late-December deployment cannot be treated as if it operated throughout the quarter.

Economic depreciation and shareholder capture

The latest fiscal-year results below include a substantial impairment and operating cost burden. Cash-cost measures and adjusted EBITDA should not obscure depreciation or asset-refresh economics. The model distinguishes cloud and mining contribution, D&A and the additional operating-cost allowance before arriving at OP.

Customer prepayments and vendor/other financing can support the buildout, but procurement commitments, leverage and equity issuance determine the value attributable to each share. Rights and other instruments are included according to the stated economic assumptions, without silently adding hypothetical exercise proceeds. The retained revenue-multiple treatment in the first two ceiling rows is an explicit framework exception; the later rows use OP. The operating ceiling is not a debt-adjusted equity DCF.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest earnings and management guidance

FY2026 Q4 actual revenue USD137.2M: AI Cloud 70.5M and mining 66.7M. Adjusted EBITDA was 19.2M; GAAP OP was negative 620.4M, including major impairments. Cash and committed facilities are different measures and cannot be added as unrestricted cash. Latest financial source.

Management reports USD4B contracted ARR for 2026 capacity and USD1B operating ARR, with remaining Horizon deliveries targeted in Q4. This is exit-run-rate capacity, not USD1B of revenue in every quarter before delivery.

Model and evidence

Preserve the contract-recognition forecast while lowering near-term mining revenue and adding a USD45M quarterly cash-cost allowance in Q3/Q4. That allowance is an analyst estimate associated with the operating-platform build. The filed August 14 share count is 394.058648M. Add the legacy future issuance increments and all 30M conditional NVIDIA rights as a conservative economic denominator; do not use the loss-period weighted-average EPS denominator. Future OP remains adjusted EBITDA less D&A, with excluded items disclosed. No obsolete third-party net-debt or distress ratio is used.

HIGH denotes reported actuals or the stated guidance, not guaranteed future results. MEDIUM denotes sourced extrapolation. Forward product splits, margins, recognition schedules and long-term growth not specifically guided are LOW confidence.

October 8: Canadian legacy-site reliability risk

SemiAnalysis describes power, storage and network reliability problems at legacy Canadian operations, while distinguishing the newer Texas configuration. These are attributed technical/channel observations, not measured fleet-wide downtime. The packet contains faithful post summaries; the original thread images were linked but unavailable. The managed-service launch dispute belongs to the same source chain and is not a second independent deduction. Source thread, October 7.

The issuer filing lists 50MW at Prince George and 80MW at Mackenzie; gross site MW does not identify GPU-cloud revenue. The NVIDIA financing right of up to $2.1B is conditional, not cash already received. Texas liquid-cooled deployment and customer acceptance provide counter-evidence against applying a Canadian legacy-site complaint to all IREN capacity. FY26 filing. The $1B operating ARR disclosed in August is an all-site run-rate anchor, not a disclosed Canadian sales figure. FY26 release.

Active probability: 35%. One substantive technical source warrants a nonzero forward risk adjustment; absent site revenue, verified outage measurements and issuer reconciliation limit conviction. The eligible cohort is the lower of 50% of reference Other contracted AI Cloud revenue and $250M per quarter, then multiplied by the phase below. The 50% allocation is a LOW-confidence bounded proxy, not a reported segment. The $250M cap is an all-site ARR envelope that prevents an unbounded Canadian attribution.

Conditional on the risk: service credits/churn reduce eligible revenue by 4% (diagnostic range 2-8%). Only 5% of lost revenue is offset by variable-cost savings; 95% reduces operating contribution. Incremental support/repair costs equal 2% of the cohort from Q1 2027. Q4 2026 extra repair expense is zero because the existing $45M platform-cost allowance already absorbs it. Fixed reference D&A dollars remain unchanged. No Microsoft/Texas, expansion-capacity, mining, share-schedule or multiple adjustment is added, and no competitor is assigned the lost sales.

Exposure phase is 100% in Q4 2026-Q4 2027, then 75%/50%/25% in Q1/Q2/Q3 2028 and zero from Q4 2028. This assumed remediation/migration path is not guidance. Revisit it on observed service-level credits, site-level revenue, independent customer evidence and issuer remediation/acceptance disclosures. Source

claims about managed services are included in this branch, preventing double counting. An unavailable image is a coverage gap, not corroboration.

Quarter	Exposed reference cohort	Weighted revenue loss	Weighted repair expense	Weighted OP loss
Q4 2026	125.000	1.750	0.000	1.662
Q1 2027	230.000	3.220	1.610	4.669
Q2 2027	250.000	3.500	1.750	5.075
Q3 2027	250.000	3.500	1.750	5.075
Q4 2027	250.000	3.500	1.750	5.075
Q1 2028	187.500	2.625	1.312	3.806
Q2 2028	125.000	1.750	0.875	2.537
Q3 2028	62.500	0.875	0.438	1.269

USD millions. All numerical branches above are ASTRA assumptions; no measured Canadian outage percentage has been supplied.

3. Analytical score

The category arithmetic gives **40/60 = 67/100** after the existing -5-point risk deduction. The portfolio Base is **67/100**, matching the analytical score after removal of the earlier override. Risk-class detail appears in section 7.

Category	Points	Max	Evidence
Core thesis	12	20	Energized power and accepted GPU deployments are valuable during the infrastructure buildout. The opportunity remains temporal: financing, depreciation and share issuance determine how much value reaches each share.
Cycle stage	10	10	Latest reported conversion and management timing; forecasting risk is scored separately.
TAM expansion	7	10	Addressable products and expansion discussed in the industry section; overlapping pools are not added.
Catalysts	5	5	Next earnings, qualification, delivery and capacity milestones.
Macro	9	10	AI infrastructure demand supports the cycle; customer spending is not guaranteed supplier revenue.
Alpha	2	5	Differentiation comes from product, accounting and recognition analysis, not price performance.
Risk penalty	-5	0	Active financing, execution, competitive and accounting/model risks listed below.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. Where the model uses segment OP or an adjusted profit proxy rather than product GP less opex, the stated basis applies; do not treat those proxies as a newly disclosed GAAP decomposition.

Quarterly revenue and operating profit

Amounts in USD millions; margins derived where applicable. Shares are in millions, using the economic denominator shown below. A positive deduction reduces profit; for IREN it includes D&A and the additional cash-cost allowance.

Calendar quarter	Fiscal period	Status	Revenue	Profit before deduction	Deduction	OP	OP margin
Q3 2026	FQ1 FY2027	Model	240.000	98.600	215.500	-116.900	-48.71%
Q4 2026	FQ2 FY2027	Model	628.250	291.037	330.950	-39.913	-6.35%
Q1 2027	FQ3 FY2027	Model	1,068.780	514.091	353.760	160.331	15.00%
Q2 2027	FQ4 FY2027	Model	1,236.500	615.725	372.000	243.725	19.71%
Q3 2027	FQ1 FY2028	Model	1,394.500	713.805	395.634	318.171	22.82%
Q4 2027	FQ2 FY2028	Model	1,559.500	815.495	425.136	390.359	25.03%
Q1 2028	FQ3 FY2028	Model	1,720.375	915.754	454.872	460.882	26.79%
Q2 2028	FQ4 FY2028	Model	1,873.250	1,010.178	483.750	526.428	28.10%
Q3 2028	FQ1 FY2029	Model	2,018.125	1,099.361	510.807	588.554	29.16%
Q4 2028	FQ2 FY2029	Model	2,145.000	1,177.010	534.105	642.905	29.97%
Q1 2029	FQ3 FY2029	Model	2,256.000	1,244.190	552.720	691.470	30.65%
Q2 2029	FQ4 FY2029	Model	2,349.000	1,300.595	568.458	732.137	31.17%
Q3 2029	FQ1 FY2030	Model	2,432.000	1,349.915	583.680	766.235	31.51%
Q4 2029	FQ2 FY2030	Model	2,505.000	1,393.875	596.190	797.685	31.84%
Q1 2030	FQ3 FY2030	Model	2,570.000	1,432.665	606.520	826.145	32.15%
Q2 2030	FQ4 FY2030	Model	2,625.000	1,464.630	614.250	850.380	32.40%
Q3 2030	FQ1 FY2031	Model	2,670.000	1,491.165	622.110	869.055	32.55%
Q4 2030	FQ2 FY2031	Model	2,708.000	1,513.707	628.256	885.451	32.70%

Product/segment inputs

Margin basis: Adjusted EBITDA margin. Revenue × the listed margin gives the product/segment contribution; sum contributions and subtract the deduction above to obtain OP. Product inputs are model estimates unless identified as reported. Source anchors and guidance are cited below; future inputs also retain the sanctioned workbook assumptions where separately identified as model assumptions.

Microsoft AI Cloud

Quarter	Revenue	Margin	Profit contribution
Q3 2026	110.000	48.00%	52.800
Q4 2026	300.000	50.00%	150.000
Q1 2027	450.000	51.50%	231.750
Q2 2027	480.000	52.50%	252.000
Q3 2027	490.000	53.20%	260.680
Q4 2027	495.000	53.80%	266.310
Q1 2028	495.000	54.20%	268.290
Q2 2028	495.000	54.50%	269.775
Q3 2028	495.000	54.80%	271.260
Q4 2028	495.000	55.00%	272.250
Q1 2029	495.000	55.20%	273.240
Q2 2029	495.000	55.30%	273.735
Q3 2029	495.000	55.40%	274.230
Q4 2029	495.000	55.50%	274.725
Q1 2030	495.000	55.60%	275.220
Q2 2030	495.000	55.60%	275.220
Q3 2030	495.000	55.70%	275.715
Q4 2030	495.000	55.70%	275.715

Other contracted AI Cloud

Quarter	Revenue	Margin	Profit contribution
Q3 2026	70.000	44.00%	30.800
Q4 2026	248.250	46.66%	115.838
Q1 2027	456.780	48.83%	223.031
Q2 2027	556.500	50.41%	280.525
Q3 2027	656.500	51.71%	339.445
Q4 2027	756.500	52.67%	398.485
Q1 2028	847.375	53.52%	453.494
Q2 2028	928.250	54.13%	502.452
Q3 2028	999.125	54.62%	545.731
Q4 2028	1,060.000	55.00%	583.000
Q1 2029	1,110.000	55.20%	612.720
Q2 2029	1,150.000	55.40%	637.100
Q3 2029	1,185.000	55.50%	657.675
Q4 2029	1,215.000	55.60%	675.540
Q1 2030	1,240.000	55.70%	690.680
Q2 2030	1,260.000	55.80%	703.080
Q3 2030	1,275.000	55.80%	711.450
Q4 2030	1,288.000	55.90%	719.992

Expansion capacity

Quarter	Revenue	Margin	Profit contribution
Q3 2026	0.000	40.00%	0.000
Q4 2026	30.000	44.00%	13.200
Q1 2027	90.000	47.50%	42.750
Q2 2027	140.000	50.00%	70.000
Q3 2027	200.000	51.80%	103.600
Q4 2027	270.000	53.00%	143.100
Q1 2028	350.000	53.90%	188.650
Q2 2028	430.000	54.50%	234.350
Q3 2028	510.000	54.90%	279.990
Q4 2028	580.000	55.20%	320.160
Q1 2029	645.000	55.40%	357.330
Q2 2029	700.000	55.60%	389.200
Q3 2029	750.000	55.70%	417.750
Q4 2029	795.000	55.80%	443.610
Q1 2030	835.000	55.90%	466.765
Q2 2030	870.000	55.90%	486.330
Q3 2030	900.000	56.00%	504.000
Q4 2030	925.000	56.00%	518.000

Bitcoin mining

Quarter	Revenue	Margin	Profit contribution
Q3 2026	60.000	25.00%	15.000
Q4 2026	50.000	24.00%	12.000
Q1 2027	72.000	23.00%	16.560
Q2 2027	60.000	22.00%	13.200
Q3 2027	48.000	21.00%	10.080
Q4 2027	38.000	20.00%	7.600
Q1 2028	28.000	19.00%	5.320
Q2 2028	20.000	18.00%	3.600
Q3 2028	14.000	17.00%	2.380
Q4 2028	10.000	16.00%	1.600
Q1 2029	6.000	15.00%	0.900
Q2 2029	4.000	14.00%	0.560
Q3 2029	2.000	13.00%	0.260
Q4 2029	0.000	12.00%	0.000
Q1 2030	0.000	11.00%	0.000
Q2 2030	0.000	10.00%	0.000
Q3 2030	0.000	10.00%	0.000
Q4 2030	0.000	10.00%	0.000

Annual trajectory cross-check

Calendar year	Revenue	OP
2027	5,259.280	1,112.586
2028	7,756.750	2,218.769
2029	9,542.000	2,987.527
2030	10,573.000	3,431.031

These annual sums are cross-checks, not separate valuation endpoints. Fiscal-year companies retain their fiscal labels in the quarterly table.

5. Forward four-quarter operating ceiling

Ceiling = sum of OP in the stated quarter and next three quarters × multiple × attribution factor × unit conversion ÷ economic diluted shares. IREN explicitly retains its revenue-basis exception in the first two rows.

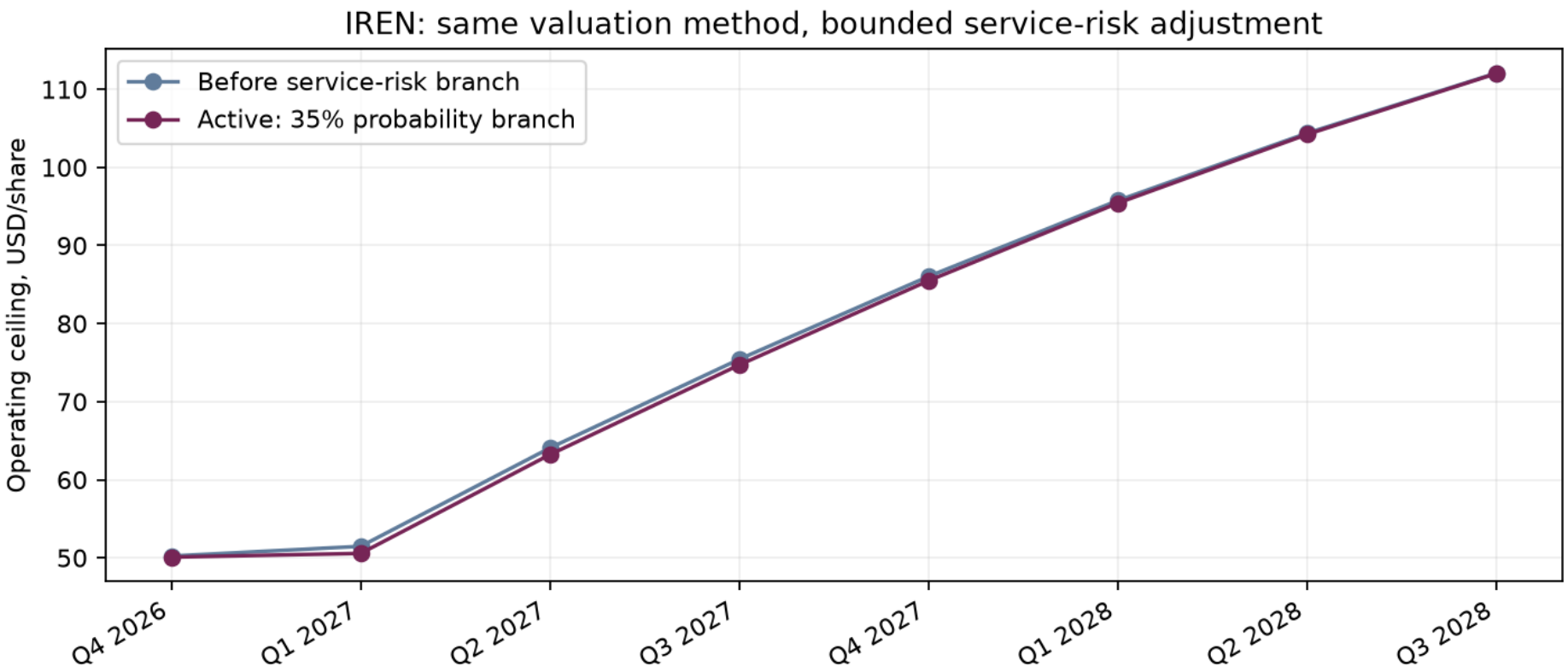
Quarter	Exact window	Basis	Forward 4Q	Multiple	Shares	Factor	Unit conversion	Ceiling/share
Q3 2026	Q3 2026 → Q2 2027	5x revenue	3,173.530	5.000	424.059	1.000	1.000	37.419
Q4 2026	Q4 2026 → Q3 2027	5x revenue	4,328.030	5.000	432.059	1.000	1.000	50.086
Q1 2027	Q1 2027 → Q4 2027	20x OP	1,112.586	20.000	440.059	1.000	1.000	50.565
Q2 2027	Q2 2027 → Q1 2028	20x OP	1,413.137	20.000	447.059	1.000	1.000	63.219
Q3 2027	Q3 2027 → Q2 2028	20x OP	1,695.839	20.000	454.059	1.000	1.000	74.697
Q4 2027	Q4 2027 → Q3 2028	20x OP	1,966.223	20.000	460.059	1.000	1.000	85.477
Q1 2028	Q1 2028 → Q4 2028	20x OP	2,218.769	20.000	465.059	1.000	1.000	95.419
Q2 2028	Q2 2028 → Q1 2029	20x OP	2,449.357	20.000	470.059	1.000	1.000	104.215
Q3 2028	Q3 2028 → Q2 2029	20x OP	2,655.066	20.000	474.059	1.000	1.000	112.014

Quarter	Exact window	Basis	Forward 4Q	Multiple	Shares	Factor	Unit conversion	Ceiling/share
Q4 2028	Q4 2028 → Q3 2029	20x OP	2,832.747	20.000	478.059	1.000	1.000	118.510
Q1 2029	Q1 2029 → Q4 2029	20x OP	2,987.527	20.000	481.059	1.000	1.000	124.206
Q2 2029	Q2 2029 → Q1 2030	20x OP	3,122.202	20.000	484.059	1.000	1.000	129.001
Q3 2029	Q3 2029 → Q2 2030	20x OP	3,240.445	20.000	487.059	1.000	1.000	133.062
Q4 2029	Q4 2029 → Q3 2030	20x OP	3,343.265	20.000	489.059	1.000	1.000	136.722
Q1 2030	Q1 2030 → Q4 2030	20x OP	3,431.031	20.000	491.059	1.000	1.000	139.740

Q4 2027 chain: (390.359 + 460.882 + 526.428 + 588.554) × 20 ÷ 460.058648 = **85.477037**. Display rounding can cause small table differences; Excel uses full precision.

Share sensitivity, same operating case

Denominator change	Q4 2027 ceiling
No change	85.477
5% more shares	81.407
10% more shares	77.706



Same-method IREN ceiling comparison

6. Industry relationships and read-throughs

Industry learning and read-through

Microsoft is an anchor customer; Dell and NVIDIA supply equipment. These are linked cash flows, not three independent end-demand pools. More rental capacity supports demand for power equipment, but funding and acceptance must be separately proven.

Boost Run and other cloud operators offer deployment comparisons, while Dell and upstream semiconductor suppliers sell into the buildout. Their revenue recognition, capital intensity and dilution differ. Customer ARR and supplier equipment revenue must be connected through actual acceptance timing.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Funding, procurement commitments and leverage	-1
Power, construction and customer acceptance	-1
Customer concentration and contract performance	-1
Hardware depreciation, impairment and mining economics	-1
Rights, equity issuance and per-share dilution	-1
Total	**-5**

Risks and next tests

1. Further ATM issuance and convertibles exceed the modeled share allowance.
2. Construction, power or customer acceptance delays billed capacity.
3. Short GPU economic lives and rising platform expenses reduce OP despite ARR growth.

At the next release, replace the reported quarter with actuals, reconcile the next guided quarter, and change only the affected product, cost, timing or share input. Retain the legacy evidence gaps; this is a targeted Framework 8.0 input update, not a new certification of every historical assumption.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Acceptance	Track customer acceptance and energized, equipped capacity by contract.	Power-ready land or installed GPUs without accepted service do not establish revenue.
2	ARR recognition	Reconcile run-rate targets to the actual operating days in each quarter.	Late-quarter activation does not earn a full quarter of ARR-derived revenue.
3	Profit basis	Reconcile cash costs, D&A, impairments and recurring OP.	Positive adjusted EBITDA alone does not validate the OP ceiling.
4	Funding and shares	Match capital commitments with financing and the period-specific share bridge.	Unfunded expansion or additional issuance reduces the attainable per-share outcome.

8. Sources, evidence gaps and model snapshot

- Future EBITDA margins, D&A, additional funding and delivery timing remain LOW confidence. Full 30M NVIDIA rights are included economically without exercise proceeds; convert/ATM dilution can exceed the additional legacy share ramp.
- The inherited 5x revenue basis through Q4 2026 is retained as a visible pre-profit exception; from Q1 2027 the model uses 20x adjusted OP. This exception is not the standard Framework 8.0 OP formula.
- Contracted ARR does not equal quarterly revenue. Late-December acceptance can produce a >USD4B exit run rate while revenue recognized during that quarter is much lower.

Annual release and filing checked. Full latest-two-call reconciliation is incomplete. The revenue-multiple exception and future dilution/asset-life assumptions remain explicit qualifications.

Sources below are those documented in the supplied earnings review. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish full Framework 8.0 evidentiary certification.

- 2026-08-27: FY26 results and current contracts.
- 2026-08-27: FY26 10-K; shares, rights and financing.
- 2026-05-07: Prior quarterly results.
- Numerical operating case: approved portfolio model; economic assumptions and evidence qualifications are stated in this artifact.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

Model snapshot: saved October 8, 2026 input update. Active Q4 2027 ceiling USD85.477037; Q1 2028 USD95.418869. Portfolio and analytical Base67; category40/60. Existing 5x revenue/20x OP handoff and economic share schedule are preserved.